

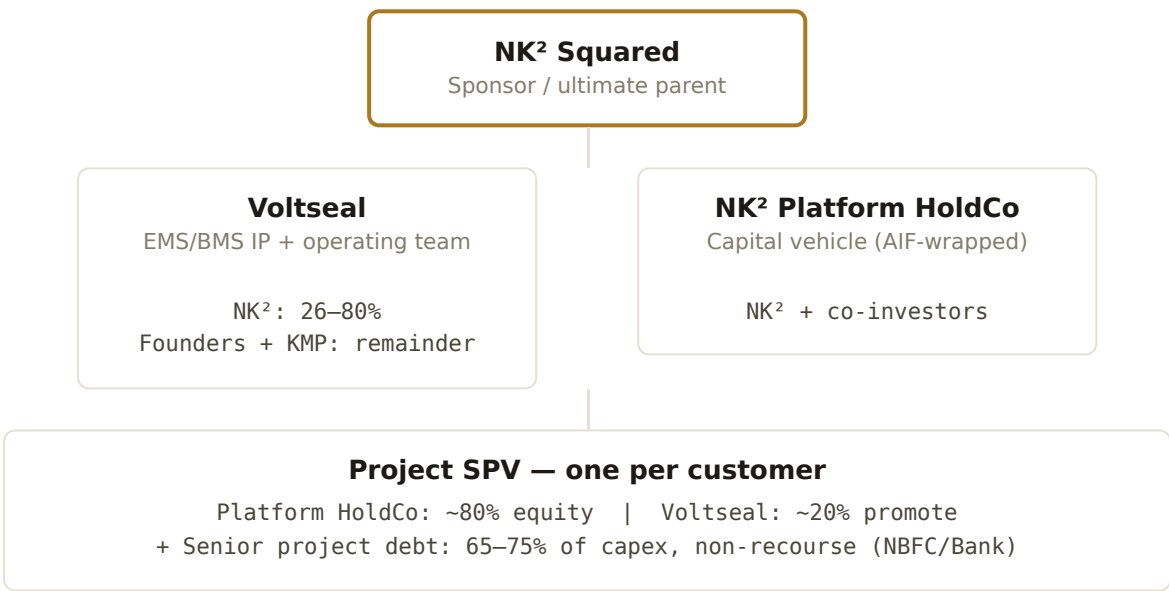
NK² × Voltseal — Ownership & Structure Model

Structure, money flow, and the founder case — for discussion with Voltseal

STRUCTURING MEMO

01 — ORG STRUCTURE & STARTING EQUITY

Voltseal stays exactly what it is today — the same company, same product, same team. NK² Squared simply becomes a bigger shareholder in it over time (26–80%). A separate capital vehicle — the Platform HoldCo — funds project equity, so growth capex never dilutes Voltseal's own cap table.



Ownership tiers for Voltseal

TIER	NK²	FOUNDERS + KMP	WHAT IT UNLOCKS
Floor	26%	74%	Blocking rights on special resolutions — veto on IP sale, winding up, related-party deals
Recommended	51%	49%	Board control, majority director appointment rights
Target (phased)	80%	20%	Near-full control; reached via call option over 3–4 yrs, not day one

Founders keep CEO/CTO roles and product control at every tier. ESOP refresh pool comes out of NK²'s stake, never the founders'.

Deployment

- 1 Customer signs ESCO contract. New project SPV incorporated.
- 2 **Debt raised at SPV level** — 65–75% of capex, from an NBFC/bank, secured against the customer receivable + the container itself. Non-recourse to Voltseal and to NK² Squared.
- 3 **Equity raised at SPV level** — Platform HoldCo funds ~80%, Voltseal contributes a small promote stake (~20%) for IP + O&M, not cash.
- 4 SPV buys the container from the OEM (Adani/Waaree/import) and licenses the EMS/BMS from Voltseal.

Ongoing cash — who gets paid, in what order

1. Lender — interest + principal on project debt, paid first, every period, from customer's savings-share collections.

2. Voltseal — license + O&M fee — fixed, small, covers cost of running the system. Paid whether or not the site has hit its savings target yet.

3. Platform HoldCo — capital return + preferred hurdle — NK²'s equity check comes back first, plus an agreed hurdle rate, before anyone shares in upside.

4. Residual split — above the hurdle, Platform HoldCo and Voltseal split remaining profit per their SPV equity stake (~80:20).

Voltseal's own income = license/O&M fees (all SPVs) + promote distributions (performing SPVs). That income, not project capex, is what eventually reaches Voltseal's own shareholders — NK² Squared and the founders — as dividends.

This section is written to be shown directly to the Voltseal founders.

- **Capital risk needs matching governance.** NK² carries 100% of the capex and credit risk on every site — ₹8–10cr each, dozens of sites. Board rights should track where the risk sits, same as any funding round.
- **26% is a floor, not a power grab.** It's the minimum needed for statutory blocking rights under company law — a veto on things that could put invested capital at risk (IP sale, winding up, related-party deals), not day-to-day control.
- **Future equity value comes from the platform, not the product alone.** Voltseal's value from here scales with NK²'s capital and customer access, not standalone software sales. A shared cap table reflects where that growth actually comes from.
- **Founders keep operating control.** CEO/CTO roles, product roadmap, majority board seats at the 51% tier — this is a capital and governance split, not a management takeover.
- **Founders' realized value can be higher, not lower.** Reverse vesting + earn-outs tied to real performance + a fresh ESOP pool funded from NK²'s stake — the platform scaling faster with committed capital can outrun what Voltseal earns staying independent.
- **This is standard PE/VC practice.** Whoever funds balance-sheet risk gets proportionate governance rights. Nothing about this deal is unusual.
- **The path to 80% is phased, not immediate.** Start at 51%, move to 80% via a pre-agreed call option over 3–4 years — founders see the model work before ceding more.

04 — IF VOLTSEAL DOESN'T AGREE TO SELL NK² A MAJORITY STAKE

Fallback: keep NK²'s stake in Voltseal small, but lock in exclusivity and defensibility contractually.

1. **Take a smaller minority stake instead** — 20–26% of Voltseal, with a board seat and information rights. Voltseal stays founder-controlled.
2. **Build NK² Holdco separately** — the Platform HoldCo owns the project SPVs directly; Voltseal stays outside it as a licensing partner only.
3. **Sign a long-term exclusive supply & license agreement** — Voltseal sells its EMS/BMS bundle only through NK² in India, for 5–10 years. Make it mutual: NK² commits to minimum deployment volumes in return.
4. **Pay for the exclusivity** — upfront fee or guaranteed minimum royalty. Makes it a purchased right, not an unpaid restraint.
5. **Escrow the source code** — released to NK² on breach, insolvency, or persistent underperformance.
6. **Add personal non-compete/non-solicit on founders** — enforceable for the contract term under Indian law (not beyond it — plan around this limit, don't rely on it alone).
7. **Keep a ROFR and a call option** — right to buy more of Voltseal later, at a pre-agreed formula, if trust builds or Voltseal's position changes.
8. **Build independent moats in parallel** — own the customer contracts, own the fleet performance data, and qualify a second EMS/BMS vendor over the exclusivity term so NK² isn't permanently single-vendor dependent.

05 — WORKED EXAMPLE: THE FIRST CUSTOMER, FIRST TWO YEARS

Plain numbers, kept simple on purpose — to build a feel for how the cash actually splits, not as a real forecast.

The assumptions

- **System cost:** ₹10 crore.
- **How it's paid for:** ₹7 crore borrowed, ₹3 crore put in as cash by NK² Squared.
- **Interest rate on the borrowed amount:** 9% a year.
- **Loan repayment:** ₹1.4 crore of the loan itself paid back every year for 5 years, plus that year's interest on whatever is still owed.
- **Voltseal's fee for running the system:** 10% of the cash collected each year — a reasonable starting number for this kind of software fee, to be firmed up once real quotes are in.
- **The 2-year target:** the customer's payments are large enough that the full ₹10 crore is recovered, in cash, within 2 years. That means the project needs to collect about ₹5 crore a year.

To keep this simple, we've assumed the ₹5 crore comes in evenly across both years, and the loan is repaid in flat yearly chunks rather than a real bank repayment schedule. Actual month-to-month numbers will look choppy than this.

Where the money goes

	CASH COLLECTED	PAID TO THE LENDER	PAID TO VOLTSEAL	LEFT FOR NK ² SQUARED
Year 1	₹5.00 cr	₹2.03 cr	₹0.50 cr	₹2.47 cr
Year 2	₹5.00 cr	₹1.90 cr	₹0.50 cr	₹2.60 cr
Total	₹10.00 cr	₹3.93 cr	₹1.00 cr	₹5.07 cr

What this means

- **NK² Squared put in ₹3 crore of cash.** It gets that full amount back roughly 14–15 months in.
- **By the end of year 2,** NK² Squared has received ₹5.07 crore against its ₹3 crore — its money back, plus about ₹2 crore of profit, inside 2 years.
- **The lender gets paid first,** every year, no matter how the project performs day to day — the safest seat at the table.
- **Voltseal is paid its fee every year too** — small next to the total, but certain, since it's compensation for running the system, not a share of profit.
- **The interest paid to the lender falls each year** — ₹63 lakh in year 1, ₹50 lakh in year 2 — because it's charged only on the loan amount still outstanding, and that shrinks every year as the loan gets paid down.

